However, the way Taraki was dealing with dissent and land reforms was raising concerns in New Delhi. Taraki's chief of intelligence, Sarwari, who would find himself in an Indian jail in 1990, had unleashed violent crackdowns on both inner party dissidents and the Islamists (particularly due to the backlash that the new regime faced after introducing the land reforms). Various Parchami members were being 'exiled' to foreign countries as diplomats in order to keep 'trouble' away from home. Taraki had 'exiled' Pacha Gul, a Parcham member and former Minister of Frontier Affairs under Daoud Khan, as Afghanistan's ambassador to India.[89] In an Orwellian manner, the Khalq also started denying the existence of the Parcham faction. When asked about opposition from Parcham in November 1978, Amin said, 'there has not been and is not any group in the name of Parcham. In Afghanistan there has existed only one party [the PDPA]'.[90] Senior Parcham leaders such as Babrak Karmal, were sent abroad on ambassadorial positions, and then unceremoniously removed on charges of taking 'active part in the treacherous conspiracy against the great Saur Revolution'.[91]

Apart from concerns over the Khalq's heavy-handed ways, tactical differences emerged between New Delhi and Kabul during this phase. In September 1978, India accepted Pakistan's participation in a meeting of the NAM countries, which eventually led to the latter becoming a full member in 1979. In a vote on the matter, Kabul had voted against allowing countries that are members of military pacts to join NAM, whereas India voted in favour. Outraged, Kabul strongly objected to India's stand on this matter during Vajpayee's 1978 visit. Taraki publicly complained that Afghanistan considered 'socialist countries as natural allies and friends of the non-aligned countries [but] India may not hold that view. Perhaps at some stage, India may come to the same view'.[92] Vajpayee had communicated to Taraki his discomfort with the PDPA's pro-Soviet tilt (to little avail). However, soon after Vajpayee's visit, the political situation in New Delhi became precarious. In July 1979 the Janata Party lost power due to internal political turbulence. The new caretaker government under the premiership of Charan Singh of the Bharatiya Lok Dal, a major constituent of the Janata coalition, took over and fresh general elections were announced for early 1980.

Throughout the Janata Party's rule, US ambassador to India Robert Goheen wanted Foreign Secretary Jagat Mehta to inform the Khalqi and Soviet leadership